

HEDGEYE DAILY DIGEST

Pre-market research read-through | August 18, 2026 (GMT+8)

*The dollar is the trade. Hedgeye enters the week leaning hard on **Short US Dollar** — long **Yen**, **Euro** and **Gold** — as the macro regime completes its **Quad shift out of July's #Quad4** into a reflationary **3-1-2** sequence. Commodity reflation is broadening (**Copper at all-time highs**, oil and grains firming), the **2s/10s curve is steepening** to fresh cycle-high steepness, and equities stay investable at record highs — but Keith McCullough is **trimming net length**, cutting from ~8 longs / 0 shorts to **4 longs / 3 shorts** to preserve dry powder for pullbacks.*

Today's Publications — Mon Aug 17 (EDT) session

Grouped for a GMT+8 reader on the morning of Aug 18. Hedgeye timestamps are EDT; the most recent publishing session (Monday, Aug 17 EDT) is treated as 'Today'.

EARLY LOOK

Macro note · Keith McCullough · 08/17/26 07:42 AM EDT · "Quad Shift Breakouts & ATHs"

Quad positioning: Quad shift out of July's #Quad4 into a reflationary 3-1-2 sequence (monthly Quad count 3-1-2). The single most important factor McCullough is pressing is the **Short US Dollar** position, expressed in ETF terms as **Short UUP vs. long FXY (Yen), FXE (Euro) and GLD (Gold)**.

The **USD Index** managed only a small counter-TREND bounce of **+0.1%** last week; the **Japanese Yen** fell **-0.7%** vs USD (making FXY a top Long-Only holding), **EUR/USD** was **+0.2%**, and **Gold** rose **+0.8%** w/w after a 1-2 day correction to buy into. Gold carries the strongest trending inverse correlation to USD at **-0.93**.

Commodity reflation is broadening: the **CRB Index +2.8%** last week (bullish TRADE and TREND), **WTI oil +5.4%** (back to bullish TRADE, neutral TREND), **Dr. Copper ripping all-time highs** after +3.4% in the past month, and **corn +4.6%** dragging wheat back to bullish. The USD tends to strengthen in #Quad4, so getting the dollar right is the key to getting Quad3 commodity reflation right.

Yield curve steepener (IVOL) added: UST 2yr yield -2bps last week (-1bp on the month) while the **UST 10yr yield +5bps** (+11bps on the month), pushing 2s/10s to a new cycle-high steepness. The one loser was **Brazil** — the Real fell **-2.6%** and its stock market **-3.2%** — offset by **Colombia's Peso +0.8%** and Colombian equities (COLO) at all-time highs. #GoAnywhere, 'but don't go everywhere.'

Investment implication: stay short the dollar and long the Yen/Euro/Gold/commodity-reflation complex, own the curve steepener, and use Signals rather than narrative — position for the steeper curve rather than 'feel' it.

Risk Range™ Signals (from today's Early Look)

Asset	Risk Range	TREND
10Y UST Yield (UST10Y)	4.61 – 4.73	Bullish
High Yield (HYG)	79.36 – 79.81	Bullish
IG Corp Bonds (LQD)	105.6 – 106.8	Bearish
S&P 500 (SPX)	7674 – 7824	Bullish
NASDAQ Comp (COMPQ)	26049 – 26893	Bullish
Russell 2000 (RUT)	2997 – 3083	Bullish
Health Care (XLV)	163 – 172	Bullish
S&P Equal Weight (RSP)	219.00 – 225.00	Bullish
Tech-Software (IGV)	99.00 – 108.00	Bullish

Volatility (VIX)	13.76 – 16.39	Bearish
US Dollar Index (USD)	99.24 – 100.11	Bearish
WTI Crude Oil	75.25 – 86.28	Neutral
Natural Gas	2.51 – 2.82	Bearish
Gold	4203 – 4483	Bullish
Copper	6.50 – 6.85	Bullish
Silver	62 – 68	Bullish

*Note vs Friday's Early Look: Silver flipped from Neutral to **Bullish**; Copper printing fresh all-time highs. USD stays Bearish TREND, VIX Bearish, equities Bullish across SPX/COMPQ/RUT.*

THE MACRO SHOW — Summary Notes

Daily macro show · 08/17/26 10:04 AM EDT · Monday, August 17th, 2026

Positions mentioned — Bullish: Japanese Yen (FXV), Gold (AAAU), Euro (FXE), Equal-Weight S&P 500 (RSP), Russell 2000 (IWM), Yield-Curve Steepener (IVOL), Lumber (WOOD), Software (IGV). **Bearish:** Qatar (QAT).

Dollar weakness is the primary call. The Dollar Index broke to fresh **two-month lows** as the economy shifts from July's #Quad4 toward Quads 1 and 2; the biggest positions against USD are Yen, Gold and Euro. Gold's 90-day trending correlation to USD is about **-0.93**. Gold was cut when it went bearish TREND, rebuilt when TREND turned bullish, and added to on corrections rather than chased.

Commodities confirm inflation acceleration. Copper hit another **all-time high** (Quad 3-style), Gold progressed from higher lows to a TRADE breakout then TREND breakout, and Silver approached a possible bullish-TREND breakout. Lumber exposure was added; food commodities (butter, OJ, coffee, barley) flagged as accelerating input costs.

Net equity exposure was CUT despite the bullish trend. McCullough moved from roughly **8 longs / 0 shorts** to **4 longs / 3 shorts**, selling longs into green and adding shorts — a tactical de-gross, not a bearish regime call. **RSP and the Russell 2000 both closed at all-time highs Friday** but on decelerating volume with only ~0.5-0.9% of immediate upside left, so gains were booked to preserve capacity to buy pullbacks.

Curve steepening is now a major theme. 2s/10s has widened ~**25bps** from July, recently ~**+53bps**, and KM expects a move toward ~**+75bps** in a Quad 1/2 world. Consumer-finance names benefit: **SoFi** back to bullish, with **Affirm** and **American Express** cited — 'almost all the shorts became longs.'

International & crypto: South Korea back to bullish TRADE (still called an 'extreme bubble'), China to bullish TRADE, Japan/Germany bullish TRADE and TREND, Qatar the only country short. **Bitcoin below both TRADE and TREND** (not long, but not short either); **Ethereum exited**, awaiting a re-entry signal.

MOMO TRACKER

Momentum stock tracker · 08/17/26 08:20 AM EDT

Mag7 -0.2%. Across the Mag7 TRENDS: **5 Bullish, 3 Bearish, 1 Neutral**, with major indices at **all-time highs, positive gamma**, and **Friday OpEx** in focus. The dashboard runs off that morning's published Risk Range Signals (chart-based product; detail is in the visual dashboard). Read-through: momentum leadership remains constructive but mixed at the single-name level even as index-level highs print.

CAPITAL ALLOCATION PRO — Daily Dashboard

Model portfolios (HAM) · 08/17/26 09:27 AM EDT

Latest **Model Portfolio changes took effect using closing prices on Monday, Aug 10, 2026** (no new same-day changes in this dashboard). Trend/Tail levels for the **68 ETFs** were last refreshed on Jul 31 close on the standard 3-4 week cycle. The dashboard is a resource hub (Complete Daily Brief, Model Portfolios, Scorecard); the team follows a 'pull vs push' model — emails only when research demands attention.

SIGNAL STRENGTH STOCKS

Weekly stock signals · 08/17/26 12:12 PM EDT

89 stocks (15 added, 1 removed). Added: FCFS, SOFI, AFRM, ONTO, WYFI, TXRH, JACK, EMR, NFLX, TRLV, MICC, DELL, CGC, CXXIF, TSCO. **Removed:** VSXY. The jump from 75 to 89 names and the addition of consumer-finance (SOFI, AFRM) dovetails with the Macro Show's steepener/long-financials theme.

OTHER NOTES

Bitcoin Trend Tracker & ETF Pro Plus · 08/17/26

Crypto Quant (07:24 AM EDT): BTC +1.3%, ETH +1.3%, ETF flows **-\$392M w/w**; cost basis — ETFs **\$82.5K**, short-term holders **\$68.5K**, long-term holders **\$48.3K**. **ETF Pro Plus (10:48 AM EDT):** 2 new ETF Pro changes posted to the dashboard.

Yesterday's Publications — Fri Aug 14 (EDT) session

Weekend gap: Hedgeye does not publish Sat/Sun, so the prior publishing session (Friday, Aug 14 EDT) serves as 'Yesterday.'

EARLY LOOK

Macro note · Keith McCullough · 08/14/26 08:10 AM EDT · "Quad Shift = ATHs"

What: Friday's flagship framing the **Quad shift** as the driver of all-time highs, with a portfolio rotation toward Growth/Tech.

Why: With a monthly **Quad count of 3-1-2**, KM tilts toward Quad 1/2 blends — smaller caps and Growth over rate-sensitivity. A 'dovish'-read **US CPI** broke the UST 2yr TRADE, enabling the rotation.

Who: Keith McCullough; factor ETFs **QTUM** (Quantum) and **IGV** (Software) bought; **XLRE** (REITs) and **IAK** (Insurance) sold.

Key numbers: **IGV +3.7%** on the day; sold **XLRE** on a **+1.4%** green day; covered **South Korea (EWY)** and **Semis (DRAM)** shorts; Real-Time Alerts went to **ZERO shorts** Monday.

Takeaway: A textbook Quad shift — QTUM & IGV in, XLRE & IAK out. Follow the Signals; change positioning when the data changes.

Friday Risk Range highlights: **SPX 7606–7861** (bullish), **USD 99.25–100.13** (bearish), **Gold 4201–4524** (bullish), **Copper 6.46–6.76** (bullish), **Silver 58–68** (neutral — since flipped bullish), **WTI 74.36–85.99** (neutral).

FROM THE DESK — Macro Week Summary

Weekly wrap · 08/14/26 05:44 PM EDT

What: Weekly Macro Week Summary Notes recapping the research team's key developments and decisions (full content behind a subscriber link — summarized from the teaser).

Why: End-of-week synthesis of the macro dashboard, VIX gauge, US monthly Quad forecast and chart of the week.

Who: Hedgeye Macro research team.

Key numbers: Sections: Macro Dashboard, Weekly Macro Commentary, VIX Gauge, US Monthly Quad Forecast, Chart of the Week, Market Insights.

Takeaway: The weekly consolidates the Quad-shift narrative that drove the week's positioning; detail requires the full linked report.

MOMO TRACKER

Momentum stock tracker · 08/14/26 08:21 AM EDT

What: Daily momentum read across Mag7 and major single names.

Why: Tracks TREND signals to gauge momentum leadership vs laggards.

Who: NFLX (bullish leader), TSLA (still bearish), Mag7 complex.

Key numbers: Mag7 +0.9%; NFLX +5.4% = bullish leadership; TSLA +3.8% but still bearish TREND.

Takeaway: Momentum leadership rotating toward names like NFLX while TSLA lags — bounce did not repair its bearish TREND.

CAPITAL ALLOCATION PRO

Model portfolios (HAM) · 08/14/26 11:24 AM EDT

What: Model Portfolio Changes effective 8/14/2026 (plus the daily dashboard).

Why: Rebalancing the model portfolios in line with the Quad shift toward Growth/small-cap tilts.

Who: Hedgeye Asset Management Capital Allocation team.

Key numbers: Changes effective **8/14/2026** using that day's closing prices; 68-ETF Trend/Tail levels on the standard update cycle.

Takeaway: Confirms the portfolio is being repositioned methodically for the 3-1-2 Quad blend.

SIGNAL STRENGTH STOCKS & CRYPTO

Weekly signals & Bitcoin Trend Tracker · 08/14/26

What: Signal Strength Stocks weekly update and the Crypto Quant note.

Why: Screens single-name signal strength; crypto note tracks BTC/ETH TREND and flows.

Who: Broad equity list; BTC, ETH/ETHA.

Key numbers: Signal Strength: **75 stocks (2 added, 3 removed)**. Crypto: **BTC -0.9%, ETH/ETHA = Bearish, Bullish TRENDS = 0**; SEC crypto meeting canceled.

Takeaway: Equity breadth steady; crypto TREND signals deteriorated into the weekend (zero bullish), consistent with today's BTC-below-TREND read.